

Reading these lines today, they ring as true as ever. They clearly lay out the goal of the security analyst and offer a framework for applying its simplest message: buy companies for less than they are worth, and understand that doing so is an art and not a science. The chart previously referenced sets out the elements that Graham and Dodd considered “intrinsic value factors.” These include earnings, dividends, assets, capital structure, terms of the issue, and others. And then there are “future value factors,” including management and reputation, competitive conditions and prospects, and possible and probable changes in volume, price, and costs. Future value factors straddle the labels “speculation” and “investment,” but since the value of every asset is the present value of its future cash flows, we focus our efforts on the quantitative and qualitative inputs that in our judgment will affect future cash flows.

It was the Berkshire Hathaway annual shareholder letters, written by Graham’s best-known student, Warren Buffett, that initially inspired us to go down the value investing path. The basic premise of owning equity in businesses that can grow and increase in value for long periods of time made sense to us immediately. When you invest in a business that is growing, time is your friend; for a stagnant business, it decidedly is not. The idea of long-term business partnership with great managers, such as Warren Buffett has done with Berkshire Hathaway, resonated most with us and felt in sync with our personalities; betting on the movement of share prices, by contrast, felt short-term oriented and unnecessarily transactional.

The two of us met in 2004 during our freshman year at the University of Pennsylvania, and we became friends living in the Spruce House dormitory. At age 20, we ran the math and realized that \$1 compounded in value at 20% per year would turn into \$9,100 by the time we were 70. Even at 15%, each dollar would be worth \$1,084. We quickly came to the conclusion that we should get started immediately.